COURT / ESTATE FILE NUMBER	2501-09028
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
	IN THE MATTER OF THE BANKRUPTCY AND INSOLVENCY ACT, RSC 1985, C B-3, AS AMENDED AND IN THE MATTER OF THE RECEIVERSHIP OF CLEO ENERGY CORP.
APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC.
RESPONDENT	CLEO ENERGY CORP.
DOCUMENT	**BENCH BRIEF OF LAW**
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I. INTRODUCTION

1. This Bench Brief of Law is filed in support of the Application of Alvarez & Marsal Canada Inc. ("**A&M**"), in its capacity as Court-appointed receiver and manager (the "**Receiver**") of the undertakings, properties and assets of CLEO Energy Corp. ("**Cleo**" or the "**Company**") for Orders which provide the following relief, among other things:

   (a) approving a share purchase agreement between the Receiver and 2698902 Alberta Corp. ("**269**" or the "**Purchaser**") dated October 6, 2025 (the "**SPA**"), for the sale by the Receiver and the purchase by the Purchaser of all of the issued and outstanding shares of Cleo effective as of the Closing Date (as defined in the SPA), and approving the reverse vesting transaction contemplated in the SPA (the "**Transaction**");

   (b) approving the Releases;

   (c) temporarily sealing the Confidential Appendices to the First Report (the "**Confidential Appendices**") until the closing of the Transaction or until further order of this Honourable Court;

   (d) approving and ratifying the actions, activities and conduct of the Receiver, as set out in the First Report of the Receiver dated October 6, 2025 (the "**First Report**"); and

   (e) approving the fees and disbursements of the Receiver and its legal counsel, Miller Thomson LLP ("**Miller Thomson**"), as set out in the First Report.

II. FACTS

2. The factual background is set out in the First Report, including the Confidential Appendices thereto. Unless otherwise indicated, capitalized terms used herein have the meanings ascribed to them in the First Report.

III. ISSUES

3. The issues to be addressed on this Application are whether:

   (a) the SPA and the Transaction ought to be approved, and the requested reverse vesting order be granted;

   (b) the Releases should be granted;

(c) the Confidential Appendices shall be temporarily sealed on the Court record;

(d) the Receiver's actions and activities ought to be approved; and

(e) the fees and disbursements of the Receiver and its legal counsel, Miller Thomson, ought to be approved.

IV. LAW AND ARGUMENT

A. The SPA and the Transaction Should be Approved, and the RVO Granted

Principles Governing Receivership Sales

4. Section 243(1)(c) of the *Bankruptcy and Insolvency Act,* RSC 1985, c B-3 (the "**BIA**") and the Receivership Order at paragraph 3 authorize the Receiver to market and sell the Company's property outside the ordinary course of business, subject to the approval of the Court.[1]

5. The Court's discretion to approve or decline a proposed transaction in a receivership is guided by the *Soundair* principles, being:

(a) whether the receiver has made a sufficient effort to obtain the best price and has not acted improvidently;

(b) the interests of all parties;

(c) the efficacy and integrity of the process by which offers are obtained; and

(d) whether there has been unfairness in the working out of the process.[2]

6. The *Soundair* principles should be applied flexibly, in a manner that gives deference to a receiver's commercial expertise in a given factual circumstance, including such things as the prevailing economic environment, and the risks or rewards associated with an extended or additional sales process.[3]

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[1] *Bankruptcy and Insolvency Act,* RSC 1985, c B-3, as amended, s 243(1)(c) **[TAB 1]**; Receivership Order pronounced June 2, 2025 at para 3 **[TAB 2]**.

[2] *Royal Bank v Soundair Corp,* 1991 CanLII 2727 (ONCA), [1991] OJ No 1137 [*Soundair*] at para 16 **[TAB 3]**.

[3] *Sanjel Corp, Re,* 2016 ABQB 257 at para 112 **[TAB 4]**.

7. Courts should exercise "extreme caution" before intervening in a sale transaction supported by a receiver.[4] It is to be assumed that a receiver's course of action and recommendation of a transaction are appropriate unless the contrary is clearly shown.[5]

8. In this instance, the Receiver has determined that the SPA and Transaction are commercially reasonable and fair, and recommends their approval.[6]

9. The SPA and the proposed Transaction satisfy the *Soundair* principles, given that:

   (a) The Receiver made sufficient efforts to obtain the best price for the Company's shares, and did not act improvidently.

   The SPA and Transaction arose from an extensive marketing process conducted by the Company and its sale advisor in the NOI Proceedings, followed by the Remarketing Process conducted by the Receiver for the assets not initially sold in the NOI Proceedings.[7] Further, the Receiver has determined that the SPA represents the highest and best offer for the assets being sold;[8]

   (b) The interests of all parties weigh in favour of granting the SPA and proposed Transaction.

   The Orphan Well Association (the "**OWA**") will benefit from the proposed Transaction. All of the Company's environmental liabilities and abandonment and reclamation obligations will be retained by the Purchaser such that they will not transfer to the OWA. This would not be the case in a bankruptcy or if the Receiver proceeded with a traditional asset purchase transaction.[9]

   The Alberta Energy Regulator has expressed that it does not object to the Transaction as long as the Purchaser fulfills certain obligations to the AER, and the Purchaser has expressed that it is prepared to fulfill these obligations;[10]

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[4] *Soundair* at paras 21 and 46.

[5] *Soundair* at para 14.

[6] First Report of Alvarez & Marsal Canada Inc., in its Capacity as Receiver and Manager of Cleo Energy Corp., dated October 6, 2025 [*First Report*] at para 39.

[7] *Ibid.*

[8] *Ibid.*

[9] *First Report* at para 50.

[10] *First Report* at para 40.

(c) The Receiver obtained offers for the assets subject to the Transaction in a fair process, and acted with integrity and efficacy.

The Remarketing Process ran from July 28, 2025 to August 29, 2025, during which time the Receiver received eight non-binding bids from the Bidders.[11] The Receiver engaged with each of the Bidders regarding their additional due diligence requests, and ultimately selected the Purchaser as the successful Bidder.

The Receiver deemed the marketing process to have been "extensive".[12] No person has suggested that the initial marketing process, or the Remarketing Process, were not conducted fairly and with integrity; and

(d) No person has suggested that the SPA or the Transaction were negotiated unfairly. The SPA was negotiated between the Receiver and the Purchaser at arm's length, and in good faith.[13] No stakeholders are prejudiced by the Transaction, which benefits creditors and other stakeholders.

Principles Governing Reverse Vesting Transactions

10. This Court has jurisdiction to approve RVO transactions pursuant to sections 183 and 243 of the BIA.[14] The question to be addressed by a court generally when determining whether to approve an RVO transaction is whether the relief sought is appropriate, and whether stakeholders are being treated fairly and reasonably in light of the surrounding circumstances.[15]

11. While RVOs should not be the "norm", courts have found RVOs to be necessary and appropriate in circumstances where the debtor operates in a heavily regulated industry, and the licensing and permitting which are necessary to the debtor's business would be difficult to transfer or assign.[16]

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[11] *First Report* at para 29.

[12] *First Report* at para 39(b).

[13] *First Report* at para 39(e).

[14] *Peakhill Capital Inc v Southview Gardens Limited Partnership,* 2023 BCSC 1476 at paras 21 – 25 [*Peakhill*] **[TAB 5].**

[15] *Harte Gold Corp (Re)*, 2022 ONSC 653 at para 29 [*Harte Gold*] **[TAB 6]**.

[16] *Just Energy Group Inc et al v Morgan Stanley Capital Group Inc et al,* 2022 ONSC 6354 at paras 33 – 34 **[TAB 7]**.

12. Here, the Company operates in the heavily regulated oil and gas industry. The licenses and permits necessary to operate the Company's business would be difficult to transfer or assign, and would add time, risk and expense to the Transaction if they were required to be transferred to the Purchaser.

13. Courts consider factors from *Harte Gold* to decide whether to approve an RVO transaction.[17] These factors are as follows:

    (a) whether the RVO is necessary in the circumstances;

    (b) whether the RVO structure produces an economic result at least as favourable as any other alternative;

    (c) whether the general stakeholders are not worse off under the RVO structure than they would have been under any other viable alternative; and

    (d) whether the consideration being paid for the debtor's business reflects the importance and value of the intangible assets being preserved under the RVO structure.[18]

14. While *Harte Gold* proceeded under the *Companies' Creditors Arrangement Act,* courts have applied its principles in the context of RVOs in receivership proceedings.[19]

15. The Receiver has addressed each factor of the *Harte Gold* test in detail at paragraphs 47 – 55 of the First Report. In brief, the Transaction and the RVO sought satisfy the *Harte Gold* test for the following reasons:

    (a) The RVO structure is necessary in this case due to the AER licenses involved. If an RVO structure is not used, the Purchaser would need to seek approval from the AER for these licenses, which could be a lengthy and costly undertaking, and which would add risk to the transaction.[20] Further, the Purchaser has advised the Receiver that it is only prepared to proceed with the Transaction if it is in the RVO format.[21]

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[17] *Harte Gold* at para 38.
[18] *Ibid.*
[19] *Peakhill* paras 21 – 25**.**
[20] *First Report* at para 47.
[21] *First Report* at paras 47 – 49.

(b) The SPA represents the highest and best offer for the assets being sold and does not result in environmental liabilities or abandonment and reclamation obligations being transferred to the OWA, which would likely be the outcome in a bankruptcy or in an asset sale.[22]

(c) The Receiver is not aware of any stakeholder who would be worse off as a result of the RVO structure of the Transaction.[23]

(d) The Receiver considers the Purchase Price being paid pursuant to the SPA to reflect (i) the importance and value of the time it would take to undertake additional steps required by the AER under a traditional asset sale and vesting order transaction; and (ii) the value attributable to certain of the Company's attributes which may be preserved through the RVO format.[24]

B. The Releases Sought in the RVO Should be Granted

16. Courts apply the factors set out in *Lydian International Limited (Re)* when determining whether to approve releases contemplated in RVOs.[25] These factors are as follows:

(a) whether the parties to be released from claims were necessary and essential to the restructuring of the debtor;

(b) whether the claims to be released were rationally connected to the purpose of the plan and necessary for it;

(c) whether the plan could succeed without the releases;

(d) whether the parties being released were contributing to the plan; and

(e) whether the release benefitted the debtors and the creditors generally.[26]

17. The proposed RVO contemplates at paragraph 17 that after the Closing Time (i) Chris Lewis in his capacity as a former director of the Company; (ii) the Receiver and its legal counsel, Miller Thomson; and (iii) Chris Lewis in his capacity as director of ResidualCo (collectively, the "**Released Parties**") shall be released from, among other things, any and

[22] *First Report* at para 50.
[23] *First Report* at para 51.
[24] *First Report* at para 55.
[25] *Lydian International Limited (Re),* 2020 ONSC 4006 at para 54 **[TAB 8]**.
[26] *Ibid.*

all present and future claims, liabilities, indebtedness, demands, actions, causes of action, and obligations of any kind based in whole or in part on any act or omissions, transaction, dealing or other occurrence existing or taking place prior to the Closing Time *in connection with the Transaction or contemplated pursuant to the terms of the proposed RVO* (collectively, the "**Released Claims**").

18. The proposed Release in the RVO is limited to claims in connection with the Transaction and specifies that the Released Parties shall not be released from any claim or liability that is deemed to have constituted actual fraud, gross negligence, or wilful misconduct committed by any Released Party.

19. The Released Claims should be granted as against the Released Parties, as they meet the *Lydian* factors.

20. The Released Parties are all necessary and integral to the restructuring of the Company and the Transaction. The Receiver has stated that each of the Released Parties have made critical contributions to the Receivership Proceedings, the negotiation of the SPA, and the implementation of the Remarketing Process, and that the services and expertise of the Released Parties were and are necessary for the ultimate success of the Transaction.[27]

21. The Receiver is of the position that the Released Claims are rationally connected to the purpose of the Transaction.[28]

22. The proposed releases benefit the Company and the creditors generally, because the Released Parties may not have advanced the Transaction without the understanding that they would be released.[29] The Transaction will advance, preserve and protect the business operations of the Company and will provide a greater recovery to stakeholders than would otherwise be available to them.[30]

C. The Confidential Appendices Should be Sealed

23. This Court has broad discretion to grant a sealing order.

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[27] *First Report* at para 60(c).
[28] *First Report* at para 60(a).
[29] *First Report* at para 60(d).
[30] *First Report at para 60*(d).

24. The test for whether a temporary sealing order should be granted is based on the following factors from *Sherman Estate v Donovan,* 2021 SCC 25:

    (a) whether court openness poses a serious risk to an important public interest;

    (b) whether the order sought is necessary to prevent this serious risk to the identified interest because reasonable alternative measures will not prevent this risk; and

    (c) as a matter of proportionality, the benefits of the order outweigh its deleterious effects.[31]

25. Since *Sherman Estate,* courts have continued to find that sealing orders are justified to protect the integrity of a receiver's sales or marketing efforts and to avoid the misuse of information by bidders in a subsequent process to obtain an unfair advantage.[32]

26. The Confidential Appendices contain a summary of the Non-Binding Bids submitted to the Receiver in the Remarketing Process and an unredacted copy of the SPA.[33]

27. The *Sherman Estate* factors are met, and the Confidential Appendices should be temporarily sealed, for the following reasons:

    (a) The information contained in the Confidential Appendices would harm any future realization efforts for the Remaining Assets if the Transaction fails to close.[34]

    (b) There are no reasonable alternative measures that could reduce the risk of the above harm.

    (c) The Receiver is not aware of any prejudice to any stakeholders given the sealing order sought is temporary and limited in scope.[35]

    (d) The salutary effects of temporarily sealing the Confidential Appendices outweigh the deleterious effects.

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[31] *Sherman Estate v Donovan,* 2021 SCC 25 at para 38 **[TAB 9]**.
[32] *Yukon (Government of) v Yukon Zinc Corporation,* 2022 YKSC 2 at para 39 [Yukon Zinc] **[TAB 10]**.
[33] *First Report* at para 42.
[34] *First Report* at para 43.
[35] *First Report* at para 44.

D. The Receiver's Actions and Activities Should be Approved

28. This Court has jurisdiction to review and approve the activities of a court-appointed receiver.[36]

29. A receiver's conduct is to be assessed objectively, and a Court should approve the activities set out in a receiver's report if the activities are reasonable, prudent, and not arbitrary.[37] Further, where a receiver has fulfilled the purpose of obtaining a high value for the debtor's assets, the court should find that the receiver has acted properly and within its mandate.[38]

30. The Receiver's activities since the Receivership Date are set out in detail at paragraph 13 of the First Report.[39] Some of the Receiver's activities during this time included (i) taking possession of the Property and performing a physical walk-through of the same; (ii) mailing BIA section 245 and 246 notices to the Company's known creditors on June 11, 2025; (iii) meeting with the Company's employees to explain the powers and duties of a receiver; (iv) terminating all employees of the Company on June 3, 2025; (v) undertaking management of the Company's daily operations; (vi) establishing and initiating the Remarketing Process; (vii) meeting with the AER to discuss the Remarketing Process and bids received; and (viii) negotiating and progressing the SPA, among other things.[40]

31. The Receiver's actions and activities are reasonable and prudent, and are consistent with its mandate. Further, the Receiver has obtained a high value for the assets subject to the SPA. The Receiver's actions and activities should be approved together with the Receiver's receipts and disbursements, and those of its counsel, as set out in the First Report.

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[36] *Leslie & Irene Dube Foundation Inc v P218 Enterprises Ltd,* 2014 BCSC 1855 at para 54 **[TAB 11]**.

[37] *Ibid.*

[38] *Re Regal Constellation Hotel Ltd,* [2004] OJ No 365, 128 ACWS (3d) 646 (ONCJ) at para 11 **[TAB 12]**.

[39] *First Report* at para 13.

[40] *Ibid.*

E. The Receiver and its Counsel's Fees and Disbursements Should be Approved

32. In *Bank of Nova Scotia v Diemer,*[41] the Ontario Court of Appeal applied the non-exhaustive factors originally set out in *Belyea v Federal Business Development Bank*[42] to be considered to determine whether a receiver's fees are fair and reasonable:

    (a) the nature and extent of the value of the assets handled;

    (b) the complications and difficulties encountered;

    (c) the degree of assistance provided by the company, its officers or employees;

    (d) the time spent;

    (e) the receiver's knowledge, experience and skill;

    (f) the diligence and thoroughness displayed by the receiver;

    (g) the responsibilities assumed;

    (h) the results of the receiver's efforts; and

    (i) the cost of comparable services.

33. The Receiver's fees, and those of its counsel, were incurred in connection with the Receiver's activities described at paragraph 30 hereof. These activities required diligence, thoroughness, significant time expenditure, and for the Receiver to be heavily involved in the operations of the Company.

34. The Receiver submits that its fees, and the fees of its counsel, are fair and reasonable given the substantive tasks required to be performed in connection with the Receivership Proceedings.[43]

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[41] *Bank of Nova Scotia v Diemer,* 2014 ONCA 851 at para 33 **[TAB 13]**.

[42] *Belyea v Federal Business Development Bank*, [1983] NBJ No. 41 (CA) at para 9 **[TAB 14]**.

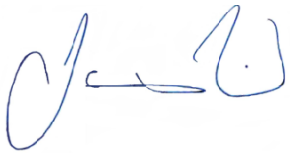
[43] *First Report* at para 66.

V. CONCLUSION

35. Based on the foregoing, the Receiver requests that this Honourable Court grant the relief sought in the Application.

ALL OF WHICH IS RESPECTFULLY SUBMITTED THIS 10th DAY OF OCTOBER, 2025.

MILLER THOMSON LLP

Per: 

James W. Reid / Pavin Takhar
Counsel for the Applicant, Alvarez & Marsal Canada Inc., in its capacity as Receiver of CLEO Energy Corp. and not in its personal or corporate capacity

TABLE OF AUTHORITIES

Tab No.	Authority
1.	*Bankruptcy and Insolvency Act,* RSC 1985, c B-3, as amended
2.	Receivership Order pronounced June 2, 2025
3.	*Royal Bank v Soundair Corp,* 1991 CanLII 2727 (ONCA), [1991] OJ No 1137
4.	*Sanjel Corp, Re,* 2016 ABQB 257
5.	*Peakhill Capital Inc v Southview Gardens Limited Partnership,* 2023 BCSC 1476
6.	*Harte Gold Corp (Re)*, 2022 ONSC 653
7.	*Just Energy Group Inc et al v Morgan Stanley Capital Group Inc et al,* 2022 ONSC 6354
8.	*Lydian International Limited (Re),* 2020 ONSC 4006
9.	*Sherman Estate v Donovan,* 2021 SCC 25
10.	*Yukon (Government of) v Yukon Zinc Corporation,* 2022 YKSC 2
11.	*Leslie & Irene Dube Foundation Inc v P218 Enterprises Ltd,* 2014 BCSC 1855
12.	*Re Regal Constellation Hotel Ltd,* [2004] OJ No 365, 128 ACWS (3d) 646 (ONCJ)
13.	*Bank of Nova Scotia v Diemer,* 2014 ONCA 851
14.	*Belyea v Federal Business Development Bank*, [1983] NBJ No. 41 (CA)